



PRODUCTS AND SERVICES · BUSINESS PAYMENT CONSULTANT

Payment Operations Review

Understanding your current payment operations and opportunities for improvement.

Regional Tools & Building-Supply Chain

Multi-location · Southern Ontario · Trades and retail

Prepared by

Kobra™ — Business Payment Consultant

Review date: Summer 2026 · Anonymized sample

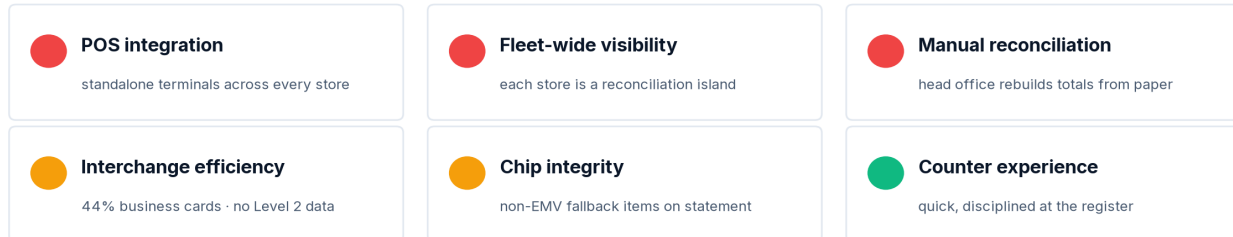
A working draft. Findings reflect what we observed and what you told us during this review. Not a proposal, quote, or binding recommendation.



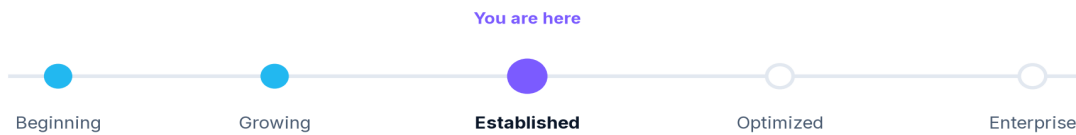
At a Glance

A multi-store retail operator on standalone terminals — the same payment stack repeats at every location.

Operational Health



Operational Maturity



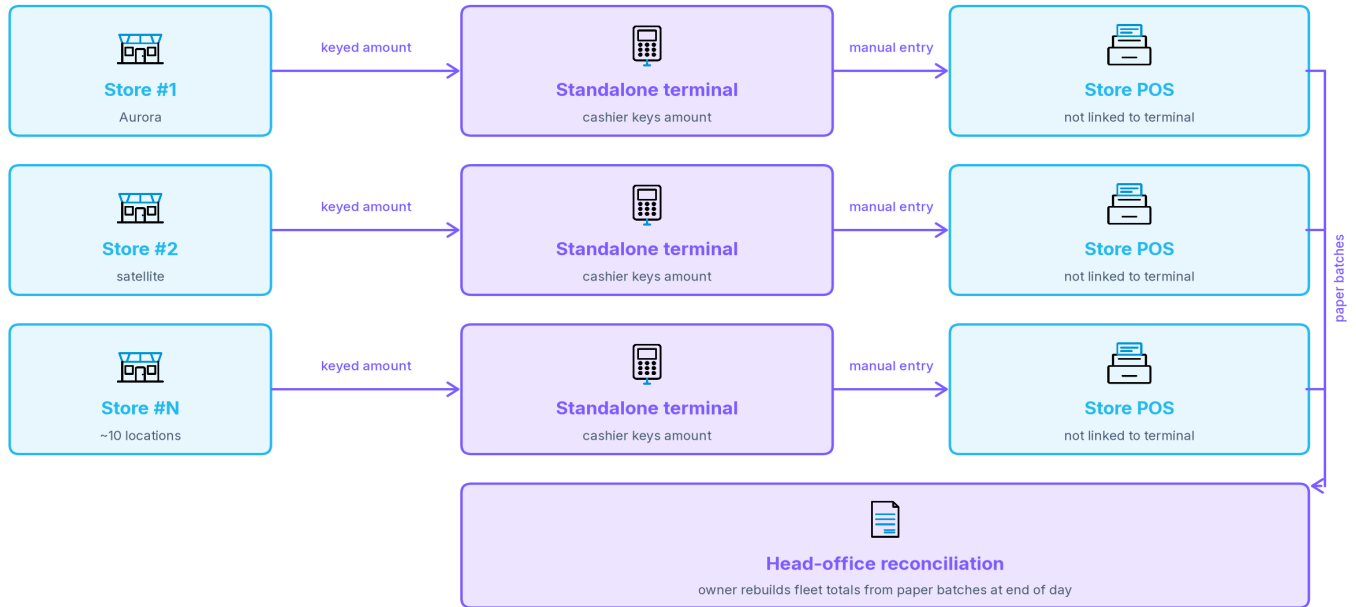
A well-run multi-store retail operation with mature counter procedures. The payment stack has not scaled with the fleet — every location runs an isolated standalone terminal.

Top Recommendation

Move the store fleet to an integrated point-of-sale + payment platform. One PIN pad wired to one POS at every location, one real-time view of the fleet, one reconciliation. Everything else — Level 2 rates, chargeback defence, faster deposits — unlocks once integration is in place.

Your Payment Flow Today

The same pattern repeats at every store: cashier keys the amount into a standalone terminal, POS never sees the payment, head office rebuilds fleet totals from paper.



Reading the diagram. Each row is one store — the fleet is drawn as three lanes but stretches to roughly ten locations. Cyan boxes are systems and channels. Purple boxes and purple arrows are manual touchpoints — a person keys, writes, or reconciles at that step. Every standalone terminal is purple because staff key the sale amount for every transaction. Every store POS is cyan because it holds the sale, but the arrows in and out of it are purple — the terminal is not talking to the POS at any store. The head-office reconciliation node at the bottom is purple because it is a nightly manual rebuild of what the fleet did that day.

What We Found

Four observations, each with a simpler operational model. Integration is the connective tissue — the other three unlock when it lands.



Standalone Terminal Fleet — No POS Integration

WHAT WE SAW

Every store in the fleet runs a countertop terminal that sits beside — but not inside — the point-of-sale. Cashiers ring the sale in POS, read the amount off the screen, then key it into the terminal by hand. The terminal prints its own receipt; staff hand-write the auth number on the POS receipt so the two records can be matched later. Nothing posts back to the POS automatically.

WHY IT MATTERS

- Every sale is keyed twice — once in POS, once in the terminal — at ~10 locations, dozens of times a day
- Amount-entry mistakes surface only at end-of-day, when totals have to be chased across stores
- Refunds require staff to re-key the amount a second time, a common source of duplicate credits
- The average ticket is ~\$1,878 — every mis-keyed sale is meaningful

A SIMPLER OPERATIONAL MODEL

An integrated PIN pad wired into the store POS pulls the sale amount directly, captures the payment, and posts the auth back to POS automatically. Same platform at every store. One deployment, one training, one support path.

APPLIES TO YOUR BUSINESS **CLEARLY**

terminal model + multi-location footprint confirmed.



Multi-Store Fleet — Every Location an Island

WHAT WE SAW

There is no consolidated view of card activity across the fleet during the day. Each store settles its own batch on its own terminal; the POS at each store holds a separate sales record; head office rebuilds fleet totals at end of day from paper batch reports. The current-state schematic on the previous page shows three lanes because that is the pattern — it repeats at every location.

WHY IT MATTERS

- The owner cannot see fleet-wide card sales in real time — the earliest full picture is the next morning
- A busy store and a slow store look the same until reconciliation catches up
- Every rate downgrade, chip fallback, or mis-batch is invisible until the monthly statement lands
- Adding a new location repeats the same isolated setup rather than extending the platform

A SIMPLER OPERATIONAL MODEL

One integrated platform across every store, feeding a single fleet dashboard. Every sale posts in real time. Head office sees live totals, per-store performance, and rate exceptions as they happen — reconciliation becomes an exception review instead of a nightly rebuild.

APPLIES TO YOUR BUSINESS **CLEARLY**

fleet-wide pattern from statement + locations.



What We Found — continued

Two more observations that repeat across the fleet — the card mix and the manual-entry pattern.



Business Card Mix — No Level 2 Across the Fleet

WHAT WE SAW

Business and corporate cards account for roughly 44% of card volume — VIBS, MCBS, and VINF lines are visible on the statement, and the sample month included a single \$22,000 MCBS transaction. That mix repeats at every store: contractors, trades, and property managers buying supplies on business cards. All of it processes as generic business rather than at Level 2 rates, because the standalone terminals cannot pass tax and PO reference fields.

WHY IT MATTERS

- Business cards are ~44% of volume — the largest single interchange lever the fleet has
- Standalone terminals cannot pass the required tax + PO reference data at the moment of sale
- Level 2 typically shaves meaningful basis points off every business-card sale
- Large tickets (the \$22K single sale is one example) benefit disproportionately, and they run at every store

A SIMPLER OPERATIONAL MODEL

An integrated POS + payment gateway captures the tax amount and a customer PO or job reference automatically at the point of sale — nothing changes at the counter, the qualification happens in the background at every store.

APPLIES TO YOUR BUSINESS **CLEARLY**

business-card mix verified on statement.



Manual Entry, Chip Fallback, Rate Drift

WHAT WE SAW

The statement shows two non-EMV transactions (chip fallback surcharges) and a stack of non-qualified STD downgrades — Visa CDN STD, MCEC, and VINF CDN STD together account for roughly \$16K of the sample month. There is also modest CNP-rated activity where remote pre-orders were keyed into the terminal off paper. Everything traces back to the same root cause: card data is being entered by a human, one terminal at a time, across ~10 stores.

WHY IT MATTERS

- Every chip fallback carries a per-item surcharge and a higher processing rate
- Non-qualified downgrades quietly add basis points across the month, invisible until the statement
- Manually-keyed cards (including the occasional phone order) process at CNP rates rather than tapped
- Fleet-wide, small basis-point drifts compound quickly across ten sets of terminals

A SIMPLER OPERATIONAL MODEL

Integrated PIN pads read chip and contactless cleanly on the first attempt, and any occasional remote payment goes out as a hosted link rather than being keyed at the counter. Rate exceptions surface in real time on the fleet dashboard the day they happen — not four weeks later.

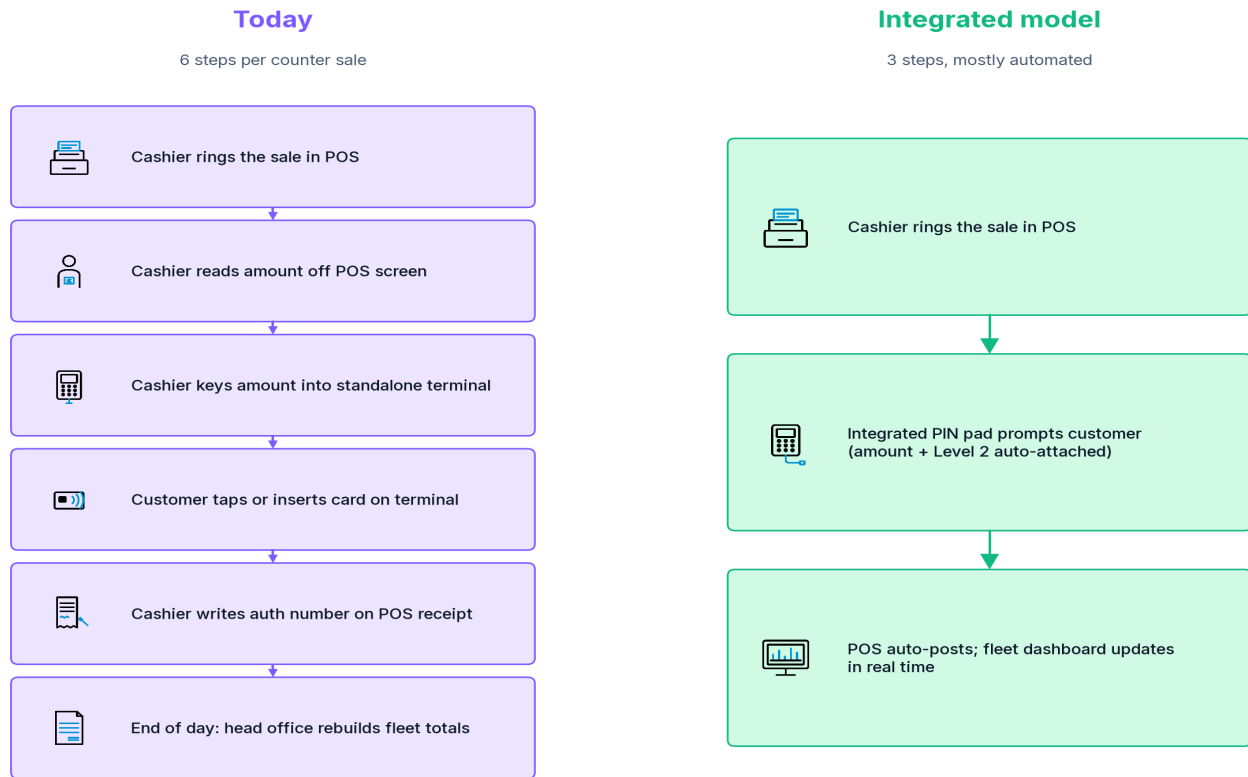
APPLIES TO YOUR BUSINESS **LIKELY**

non-EMV + STD downgrades on statement.



The Payment Journey

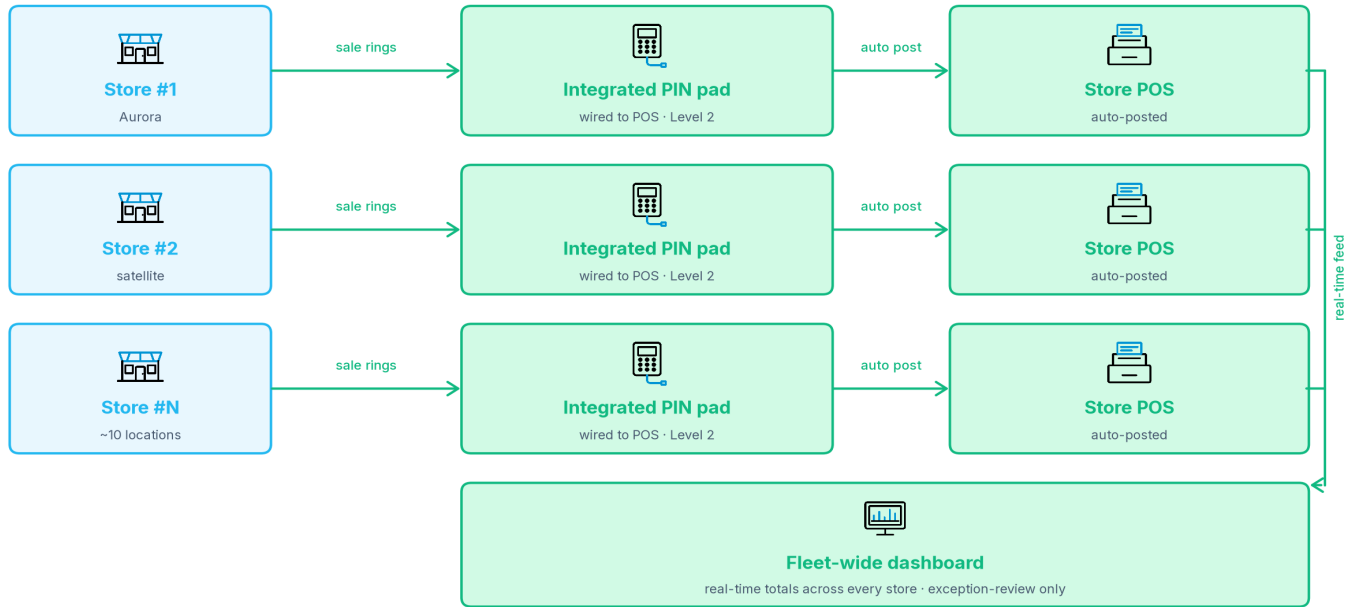
One counter sale, walked step by step — the same journey happens hundreds of times a day across the fleet.



Six steps collapse to three. What disappears is the double-keying between POS and terminal, the hand-written auth number, and the nightly rebuild of fleet totals at head office. Multiply the difference by the transaction count at every store and this is where the operational win lives.

Suggested Payment Flow

One integrated platform at every store, one PIN pad wired into every POS, one fleet dashboard for the owner.



~10 stores
on one integrated platform

44% of volume
now Level 2 eligible

Real-time
fleet-wide visibility

Areas Worth Discussing

Operational topics that came up during the review, worth a follow-up conversation.



Fleet Operations

How payment work flows across the store network

Fleet Visibility

How much card activity across the fleet you can see live vs. the next-day rebuild.

Per-Store Performance

Whether you can compare stores in real time by ticket size, mix, and rate.

Reconciliation

The nightly path from ~10 batches into one set of numbers — what it costs today.



Counter & Contractor

What repeat trade customers experience at every store

Counter Experience

Whether tap-first checkout is consistent at every store or varies by terminal age.

Contractor Accounts

How house-account contractors settle up and whether card-on-file is even an option.

Business Card Handling

Whether business-card customers see any acknowledgment that Level 2 is being captured.



Rate & Risk

How the fleet leaks basis points today

Business-Card L2

Whether the 44% business-card mix is qualifying at Level 2 or generic business rates.

Chip Integrity

Whether every terminal is reading chip cleanly or falling back to less-secure methods.

Rate Drift

How non-qualified STD downgrades are being caught — today, only at month-end.

Questions We Didn't Have Info For

- ◇ Exact store count and locations, and whether any are franchised or independently operated
- ◇ Total annual fleet-wide card volume and per-store split
- ◇ Current POS / inventory platform and its supported payment integrations
- ◇ Contract end date on the current terminal fleet and processor agreement
- ◇ Share of trade paid on house / contractor accounts vs. card
- ◇ Current statement structure — bundled, tiered, or interchange-plus

Kobra's Notes

Well-run retail operator with roughly ten stores — mature counter operations, disciplined staff, but the payment stack has been left behind. Every location runs an isolated standalone terminal beside an isolated POS. Integration is the one move that unlocks everything else: fleet-wide visibility, Level 2 on the 44% business-card mix, clean chip reads at every store, and a real-time view for the owner. Sequence: pilot the integrated stack at one store, prove the operational lift, then roll the same platform across the fleet. Rate conversation follows naturally once Level 2 data is flowing.



Business Payment Consultant Notes

A note from Kobra on how to read this review.

Kobra prepared this review using the information available during your assessment. The goal is not to recommend changing providers or purchasing specific products. The purpose is to help visualize how payments currently move through your business and identify operational areas that may deserve further review.

If you'd like, a NapaPay Business Payment Consultant can review these findings with you and discuss practical ways to simplify payment operations.

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